

Executive Summary

The outbreak of war in the Middle East represents a historic shock to commodity markets, resulting in March in the largest oil supply loss on record. Assuming the most acute phase of commodity trade disruptions ends in May, with shipping volumes transiting through the Strait of Hormuz gradually returning to near prewar levels by October, average commodity prices are projected to rise by 16 percent this year—the first annual increase since 2022. This would leave prices about 25 percent higher than expected in January 2026. This baseline projection hinges on developments in energy markets. With both oil and natural gas prices having soared due to supply shortfalls, average energy prices are forecast to increase by 24 percent in 2026. The Brent oil price is expected to average \$86 per barrel this year, an upward revision of \$26 since January. However, the supply shocks brought about by the war and its consequences are widespread, affecting many commodities and industrial inputs. Prices for crop fertilizers are expected to soar this year due to export disruptions and surging production costs, with input costs also exerting upward pressure on prices of food commodities and metals. Average base metals prices are projected to reach an all-time high, as are prices of precious metals, amid extraordinary volatility. Under the baseline assumptions, the rise in energy prices this year is set to slow growth in emerging market and developing economies (EMDEs) and drive their average inflation rate to a four-year high. Risks to the commodity price projections are tilted firmly toward higher prices. If disruptions in the Middle East prove more protracted or severe than assumed, the Brent oil price in 2026 could average \$95 to \$115 per barrel, with other commodity prices also far exceeding forecasts. In addition, base metals prices could increase more than anticipated amid inflexible supplies and resilient demand.

The state of commodity markets

The eruption of war in the Middle East, leading to attacks on energy infrastructure and the near cessation of shipping through the Strait of Hormuz, has caused unprecedented disruptions to global commodity supplies (figure 1.A). The Strait of Hormuz is a major passageway for trade in energy and other commodities. Prior to the conflict, vessels passing the Strait accounted for close to 35 and 20 percent, respectively, of global seaborne trade in crude oil and refined petroleum products, as well as 20 percent of trade in liquefied natural gas (LNG; figure 1.B). In addition, the Gulf region is a critical source of fertilizers—especially urea—as well as chemical inputs for many industries, such as helium and sulfur, and a large contributor to global aluminum supplies.

Before the start of the war, the obstruction of the Strait had long been viewed as a severe risk to commodity supply availability (World Bank 2023). The reduction in global oil supply in March 2026—estimated at about 10 million barrels per day (mb/d)—amounted to the largest oil supply shock on record (figure 1.C). Rapidly shifting developments in April—including the

announcement of a fragile ceasefire, negotiations, and the blockading of ports—have so far not alleviated the oil supply shortfall.

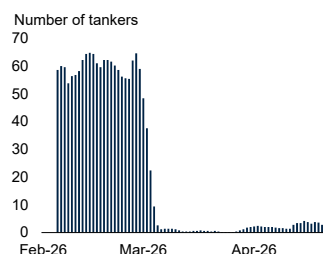
Since the war began, prices of directly affected commodities have surged. The price of Brent oil climbed from \$72 per barrel (\$/bbl) at the end of February, already incorporating a substantial geopolitical risk premium, closing March at \$118/bbl, the largest monthly increase on record (figure 1.D). Brent prices moderated in the first half of April following the announcement of a ceasefire and a subsequent decline in hostilities but remained more than 50 percent above their levels at the start of 2026, in the \$90s per barrel. Energy benchmarks in the Middle East and Asia have experienced even more pronounced increases, reflecting that refiners and end-users are seeking scarce supplies of specific grades and products (figure 1.E).

The last two months have seen intense competition among buyers globally to secure LNG following a sharp drop in exports from the Middle East, driving natural gas prices higher in Asia and Europe. The Asian LNG benchmark soared 94 percent over the course of March, while European natural gas prices gained 59 percent (figure 1.F). At nearly \$18 per million British thermal units

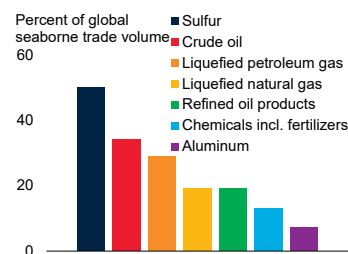
FIGURE 1 The state of commodity markets

The interruption of most commodity exports from the Gulf region represents a historic shock to energy and fertilizer markets. In March, the loss of oil supply caused by the effective closure of the Strait of Hormuz was the largest disruption in history. While the price of Brent oil soared at the outset of the war, marking its largest monthly increase on record, energy benchmarks in the Middle East and Asia saw even steeper surges, particularly for refined products. The rise in Asian LNG prices in March outstripped all but one other month in the past decade.

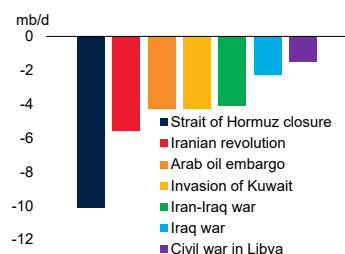
A. Tankers passing through the Strait of Hormuz



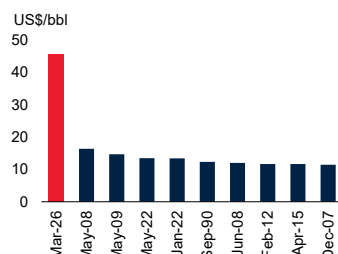
B. Seaborne trade volume passing through the Strait of Hormuz



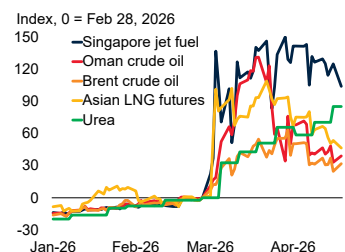
C. Initial oil supply losses in historical episodes



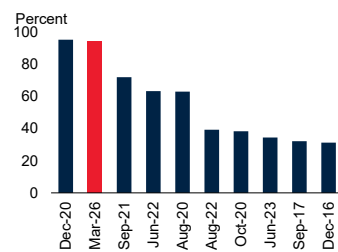
D. Largest monthly oil price increases



E. Commodity price changes since the onset of the war



F. Largest monthly increases in Asian LNG futures prices, past decade



Sources: Bloomberg; Fastmarkets; International Energy Agency (IEA); UN Trade and Development (UNCTAD); World Bank.

Note: bbl = barrel; mb/d = million barrels per day.

A. Five-day moving average of vessel transits of the Strait of Hormuz. Last observation is April 20, 2026.

B. Share of global seaborne trade volume passing through the Strait of Hormuz, except for aluminum which refers to global production share.

C. Oil supply disruptions during geopolitical events as defined by International Energy Agency (IEA 2014). The corresponding time periods for each include: Strait of Hormuz closure (March 2026), Iranian Revolution (November 1978–April 1979), Arab oil embargo (October 1973–March 1974), Invasion of Kuwait (August 1990–January 1991), Iran-Iraq War (October 1980–January 1981), the early period of the Iraq war (March–December 2003), and the civil war in Libya (February–October 2011).

D. Bars show dollar difference in end-of-month daily price of Brent compared to the previous one. Top 10 positive changes since 1988 are plotted.

E. Daily data, last observation is April 20, 2026.

F. Bars show percentage change in end-of-month daily price of Asian LNG compared to the previous one. Top 10 positive changes since 2014 are plotted.

(mmbtu), the average European natural gas price in March reached levels not seen since early 2023, a year after Russia's invasion of Ukraine. In the first half of April, natural gas prices softened somewhat across regions amid hopes that negotiations would mitigate curbs on LNG shipments, but remained elevated.

Historically, conflict-related supply shocks generate large initial oil price increases relative to declines in production (refer to special focus; figure 2.A). The uncertainty about oil supply prospects that often accompanies geopolitical shocks in turn drives up premiums for near-term oil deliveries and fuels medium-term demand for inventories. As of mid-April 2026, prices for near-term oil futures far exceeded those for deliveries in late 2026, implying market expectations that Middle East energy exports are likely to increase in the coming months. Nonetheless, the ultimate severity of the current shock will be determined by two main factors: the degree of lasting damage to commodity production capacity in the Middle East, and the timeframe and extent of the return of shipping volumes through the Strait of Hormuz. Reductions in shipping represent a binding constraint on regional exports. Prior to the current conflict, spare pipeline capacity available to redirect oil shipped through the Strait amounted to about 5.5 mb/d, roughly 3 mb/d of which was estimated to have been used in March. There are no alternative routes for natural gas transported as LNG.

Despite the war roiling many markets, the World Bank Group's agricultural commodity price index was broadly stable in the first few months of 2026. Even so, the consequences of escalating conflict pushed the food commodities sub-index to a 22-month high in March, as rising energy costs boosted demand for biofuel products such as palm oil and soybean oil. Within the agricultural index, higher food prices were offset in 2026Q1 by a sharp decline in beverage prices, as past supply crunches for cocoa and coffee continued to unwind.

Following relative stability prior to the war, the World Bank Group's fertilizers index surged to a

post-2022 high in March, marking its second-largest monthly price increase of the last decade (figure 2.B). This steep move was mainly due to a more than 50 percent (m/m) jump in the price of urea, which is at the epicenter of the halt in seaborne exports from the Middle East.¹ Moreover, in contrast to oil and natural gas prices, urea prices in mid-April were little changed from their end-March levels. Prices of other fertilizer varieties have also increased somewhat since February, in part reflecting sharply rising input costs due to reduced natural gas supplies.

Prior to the war, high and volatile metal prices had been in focus. Over the past year, markets for base metals (excluding iron ore) have been structurally tight, reflecting strong industrial demand and inelastic short-term production amid a raft of idiosyncratic supply challenges such as weather-related mine closures. The war has since exacerbated supply challenges for base metals, either by impeding production and shipments directly, such as for aluminum, or by curtailing the supply of essential production inputs such as sulfuric acid. Many metals prices softened slightly in March, likely reflecting weaker prospects for global industrial activity, but aluminum prices gained more than 10 percent (m/m), the second largest monthly increase in the last decade (figure 2.C). In all, the World Bank Group's base metals index gained 29 percent over the year from 2025Q1 to 2026Q1.

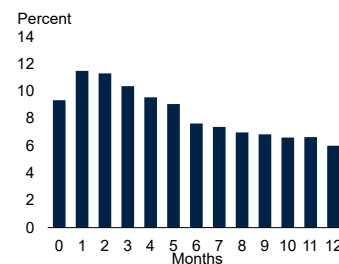
Gold, platinum, and silver extended blistering rallies in early 2026, which subsided as the conflict escalated. This atypical pattern—precious metal returns often increase as geopolitical stress emerges—likely reflects a partial reversal of the speculative fervor that gripped precious metals markets in recent months, extending a spell of extraordinary volatility (figure 2.D). Even so, the precious metals index advanced 84 percent from 2025Q1 to 2026Q1.

¹ Throughout this document “(y/y)” refers to the change in quantity or average price in one year, compared to the previous year, or compared to the same specified period in the previous year; “(q/q)” and “(m/m)” refer to the change in quantity or average price in one quarter or month, compared to the previous quarter or month.

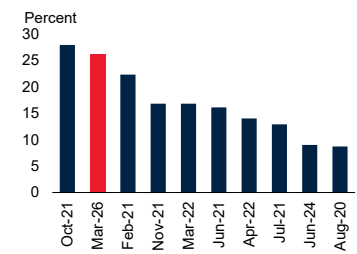
FIGURE 2 Developments in commodity markets

Oil supply losses due to geopolitical events generate sharp price spikes, far exceeding those associated with other types of supply shocks. In the current episode, the concomitant supply shock to fertilizers in March pushed the fertilizer index to its second-highest monthly increase in the past decade. Aluminum, too, recorded a large monthly increase, reflecting both reduced Middle East exports and rising input costs. Against a turbulent global backdrop, speculative fervor in precious metals markets has driven record price volatility.

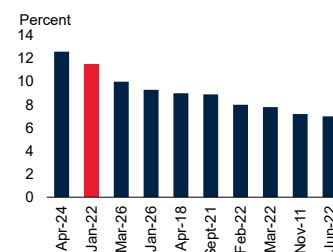
A. Response of oil prices to a geopolitics-driven 1 percent decline in oil production



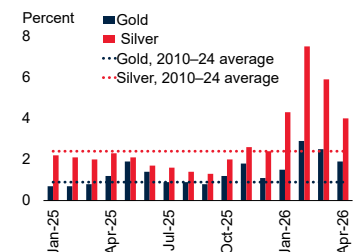
B. Largest monthly increases in fertilizer prices, past decade



C. Largest monthly increases in aluminum prices, past decade



D. Silver and gold price volatility



Sources: Bloomberg; World Bank.

A. Impulse response of real oil prices to a geopolitical oil supply shock that reduces global oil production by 1 percent on impact, computed from 5,000 bootstrap replications. For further details see Special Focus.

B. Bars show the largest changes in monthly average fertilizer prices (the World Bank Group's fertilizer price index) over the last decade.

C. Bars show the largest changes in monthly average aluminum prices over the last decade.

D. Monthly averages of 30-day volatility of returns in gold and silver prices. Last observation is April 20, 2026.

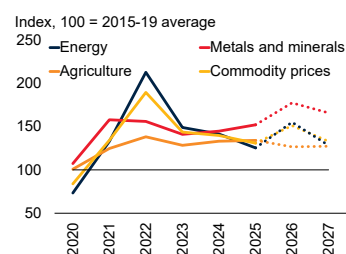
Outlook

The baseline commodity projections are premised on the most acute phase of supply disruptions related to war in the Middle East ending in May. Thereafter, shipping volumes through the Strait of Hormuz are assumed to haltingly recover, stabilizing around pre-war levels by the final quarter of the year. The envisaged shocks to energy, fertilizers, and other commodities therefore mainly reflect dislocations—global production capacity is sufficient but access is temporarily impeded—rather than more fundamental

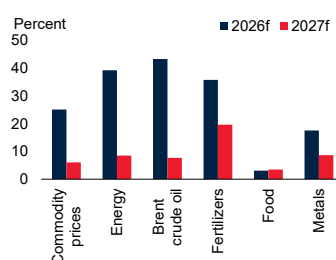
FIGURE 3 Outlook for commodity price indexes and energy

Following acute disruptions to commodity trade in the Gulf region, average commodity prices are projected to rise by 16 percent (y/y) in 2026. The baseline outlook entails a substantial commodity price shock relative to January 2026 projections. Policy and behavioral adjustments to reduce oil use are underway and together will further weigh on already sluggish global oil consumption growth this decade. Nonetheless, in 2026Q2, the oil market is on track to register a record excess of consumption over production.

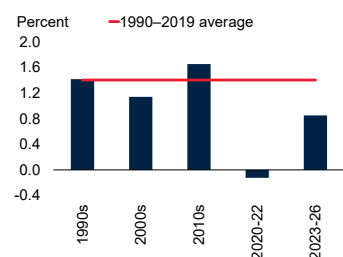
A. Commodity price forecasts



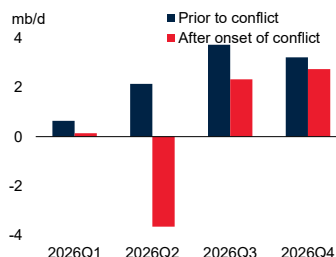
B. Commodity price forecast revisions from January 2026



C. Global annual average oil consumption growth



D. Excess of global oil production over consumption



Sources: International Energy Agency (IEA); World Bank.

A. Commodity prices line refers to the World Bank commodity price index, excluding precious metals. Dashed lines indicate forecasts.

B. Commodity price forecast revisions compared to the January 2026 edition of the *Global Economic Prospects* report.

C. Compound annual average growth rates for oil consumption based on IEA's *Oil Market Report*, April 2026 edition. 2023–26 encompasses a forecast for 2026.

D. Blue bars show oil balance data based on IEA's *Oil Market Report*, March 2026 edition ("prior to conflict"), compared to the red bars showing oil balance data based on IEA's *Oil Market Report*, April 2026 edition ("after onset of conflict").

mismatches between consumption and supply capacity. Under these assumptions, which are subject to heightened uncertainty, the World Bank Group's commodity price index is projected to increase by 16 percent (y/y) in 2026, marking the first rise in annual commodity prices since 2022 (figure 3.A). The baseline forecast represents an upward revision of 25 percent from the January 2026 projection (figure 3.B). In 2027, average commodity prices are expected to decline by 12 percent.

Energy

Driven by the shortfall in energy exports from the Middle East, the World Bank Group's energy price index is forecast to increase 24 percent (y/y) in 2026. Relative to expectations in January 2026, the baseline projection represents a shock of almost 40 percent in energy prices to the global economy this year. Next year, energy commodity prices are expected to substantially reverse, with the index slated to decline by 17 percent.

The central driver of the energy forecast is oil prices. After averaging just \$69/bbl in the first two months of 2026, then rising to about \$100/bbl in March and April, the price of Brent oil is expected to remain elevated in the near term, curbing oil consumption, while export volumes from the Middle East remain greatly reduced. Demand destruction for oil products has started amid multi-year high cash premiums for crude oil and distillates, especially in Asia, and slowdowns in the use of ethane, naphtha and liquid petroleum gas (LPG). Nonetheless, the baseline also assumes that the drawdown of inventories, including oil "on water" (loaded and in transit), substantially buffers oil consumption through the middle of this year. Assuming that oil prices recede in the second half of 2026 due to a recovery of oil exports from the Gulf, and that any residual damage to the region's oil infrastructure is relatively minor, Brent oil prices for the remainder of the year are expected to average close to \$86/bbl. On this basis, Brent oil prices are also projected to average \$86/bbl in 2026 as a whole, a steep rise from \$69/bbl in 2025, before reverting to \$70/bbl in 2027. The \$26/bbl upward revision since January matches the revision made in April 2022, following Russia's invasion of Ukraine.

Global oil consumption is expected to decline marginally this year, reflecting higher prices and proactive policy efforts to limit consumption amid shortages in some countries. The latest shock deepens a trend of structurally weak oil consumption in recent years, which was already evident at much lower prices (figure 3.C). Global oil production is anticipated to decrease by 1.5 percent in 2026—the third-largest annual decline

in four decades, with the drop heavily concentrated in 2026Q2 due to forced shut-ins among Middle East producers. If the baseline assumptions hold, a rebound in OPEC oil production will follow, with some non-OPEC+ producers also expected to contribute additional supply. On a global basis, this could result in surplus oil production in late 2026 (figure 3.D).

European natural gas prices are projected to rise sharply by 25 percent (y/y) in 2026, before dropping back by 20 percent in 2027 as supply disruptions subside. The surge in European gas prices this year is due to the conflict-related drop in LNG supply, with the region competing for available cargoes with buyers that typically source supplies from the Middle East. LNG prices, and by extension benchmarks in Asia and Europe heavily influenced by LNG, are likely to remain high for as long as shipments through the Strait of Hormuz are substantially curtailed.

U.S. natural gas prices are largely insulated from events in the Middle East, as supplies are mostly traded and consumed via North America's pipelines, despite growing LNG exports. Following a sharp increase in 2025, U.S. natural gas prices are forecast to rise more modestly in 2026 and 2027, by 8 and 5 percent (y/y), respectively. Global natural gas consumption is anticipated to stagnate this year, with many economies in Europe and Asia curbing consumption in the face of high prices, and disruptions to gas-intensive industries in the Middle East. Global natural gas production is expected to grow only modestly in 2026, limited by project delays and output losses in Qatar, despite anticipated net additions to production in most regions.

Coal prices are predicted to increase by 20 percent (y/y) in 2026 before softening by 12 percent in 2027. Tight gas supplies are envisaged to be partially offset by substitution toward coal for power generation, likely supporting an increase in thermal coal demand in 2026, concentrated in Asia. While still meeting rising demand, global coal production is expected to continue to decrease this year amid contracting coal trade and expanding renewable energy generation globally.

Agricultural and fertilizers

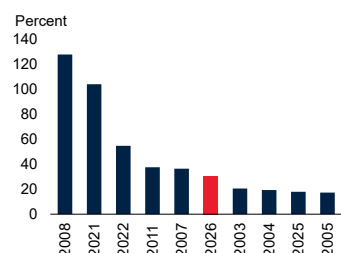
The World Bank Group's food price index is projected to rise about 2 percent (y/y) in 2026 and to inch higher in 2027, an upward revision relative to previous projections. The anticipated increase in food prices this year is modest, owing to ample global grain supplies at the outset of the shock, stemming from widely distributed producers. Under the baseline assumptions, conflict-related price pressures on foods are expected to be most pronounced among oils and meals, some of which are common feedstocks for biofuels that can substitute for oil. For instance, palm oil and soybean oil prices are both projected to rise by 8 percent in 2026. Food price effects are likely to be muted in the current episode relative to 2022 because at that time disruptions were centered on major food producing regions, whereas the Gulf region plays a more limited direct role in food trade.

In contrast, economies embroiled in the war are major suppliers of fertilizers, and the World Bank Group's fertilizer index is projected to increase by 31 percent (y/y) in 2026, before easing somewhat in 2027. The predicted rise in prices this year principally reflects feedstock supply dislocations leading to a 60 percent price surge for urea, which is heavily dependent on natural gas. More moderate price increases are anticipated for some other types of fertilizers, due to lower natural gas requirements, notably potash. Although the forecast rise in average fertilizer prices in 2026 is considerable, it is far smaller than those of 2008, 2021, and 2022—years of much larger food prices increases than in the baseline (figure 4.A). This reflects, among other factors, assumptions about the duration of curbs on Middle East fertilizer and chemicals exports, and that natural gas prices are not envisaged to approach the heights of 2022. Nonetheless, with the anticipated increase in fertilizer prices far outstripping that for food commodity prices, fertilizer affordability is expected to deteriorate this year to the worst levels since 2022, pressuring farming profit margins (figure 4.B). As further discussed in subsequent sections, if war-related disruptions are more lasting than assumed, even higher fertilizer prices could

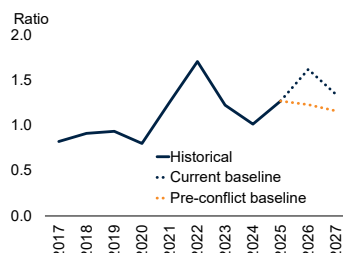
FIGURE 4 Outlook for fertilizers and metals

Fertilizer prices are projected to climb sharply this year, leading to deteriorating fertilizer affordability. Average base metals prices are expected to reach an all-time high this year, partly reflecting recent demand trends in strategic and emerging industries. That said, the speed and scale of the climb in metals prices are expected to remain more modest than during past spells of sustained increases.

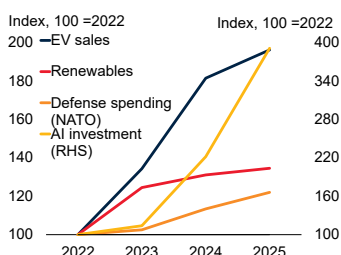
A. Years of large fertilizer price increases since 2000



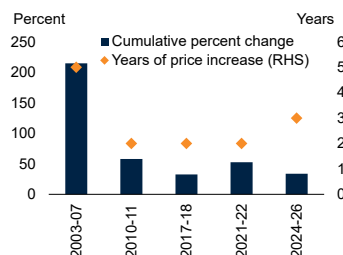
B. Fertilizer affordability index



C. Drivers of end-use metals demand



D. Consecutive years of rising metals prices since 2000



Sources: Bloomberg; International Energy Agency (IEA); NATO; World Bank.

Note: AI = artificial intelligence; EV = electric vehicles; NATO = North Atlantic Treaty Organization; RHS = right-side scale.

A. Bars show the largest annual average changes in the World Bank Group's fertilizer price index. 2026 is a forecast.

B. Fertilizer affordability index defined as fertilizer index divided by food price index. "Pre-conflict baseline" dashed line refers to the commodity price forecasts for the January 2026 edition of the *Global Economic Prospects* report.

C. EV sales data from IEA's Global EV Outlook report and renewables from IEA's *World Energy Investment* 2025. Data on defense spending is for NATO countries only. AI investment refers to AI-related investment using Bloomberg Intelligence's hyperscaler capital expenditure in datacenters as a proxy.

D. Bars show cumulative percent change in annual average base metal prices over consecutive years of rising prices. Orange diamonds show the number of consecutive years with the price increase. 2026 includes the price forecast.

result in diminished crop yields in some regions, threatening food security.

The World Bank Group's agriculture price index—a weighted average of beverages, food commodities, and raw materials prices—is forecast to fall 6 percent in 2026 (y/y). The decrease is driven by a sharp projected decline in beverage prices, which more than offsets firming food prices and broadly stable raw materials prices. The

agriculture index is expected to broadly hold steady next year.

Metals and minerals

The World Bank Group's metals and minerals price index is projected to gain 17 percent (y/y) in 2026, supported by steadily growing demand amid increased production costs and persistent supply tightness for several base metals. This is compounded in the case of aluminum by conflict-related export decreases from the Middle East. In 2027, average metals and minerals prices are forecast to wane by 7 percent as input costs decline and the supply squeeze for aluminum moderates. Base metals consumption remains structurally solid, underpinned by traditional uses as well as strong momentum in emerging industries including renewable energy, broader electrification technologies, and data centers (figure 4.C). Prices for aluminum, copper, and tin—essential materials for many products in these sectors—are projected to reach all-time highs in 2026, marking a third consecutive year of rising prices. Even so, in recent years metals prices have risen at a steadier pace than during the boom years of the 2000s, or subsequent spells of sustained increases (figure 4.D). Iron ore prices, in contrast to wider base metals prices, are anticipated to decline to a seven-year low as weakness in China's property sector persists alongside subdued construction activity in advanced economies and ample supply.

Following a record surge in 2025, average precious metal prices are forecast to gain by 42 percent (y/y) in 2026, reaching an all-time annual high. In 2027, the precious metals index is projected to moderate, while remaining markedly elevated by historical standards. The levels of gold and silver prices this year are projected to be close to four times their 2015–19 averages, with platinum prices expected to be about twice that benchmark. The prevailing environment of geopolitical uncertainty is likely to provide ongoing support for precious metals investment demand. Meanwhile, expanding industrial use of silver and platinum is set to accentuate market tightness. The

precious metals price projections are subject to particular uncertainty, however, in view of recent large swings in speculative positioning that have amplified price movements.

Risks

Risks to the commodity price projections are markedly tilted toward higher prices. Most prominently, the severity and duration of commodity supply disruptions in the Middle East could be greater than assumed. In addition, policy distortions and other shocks such as extreme weather, labor unrest, and conflict events could further tighten base metals supplies. There are also notable risks that could see commodity prices undershoot the projections. Global oil supplies were ample prior to the recent onset of conflict. If shipping from the Middle East fully resumes, a sizable oil surplus in 2027 could pull prices below expectations. Finally, global economic growth could be weaker than assumed, curbing commodity demand.

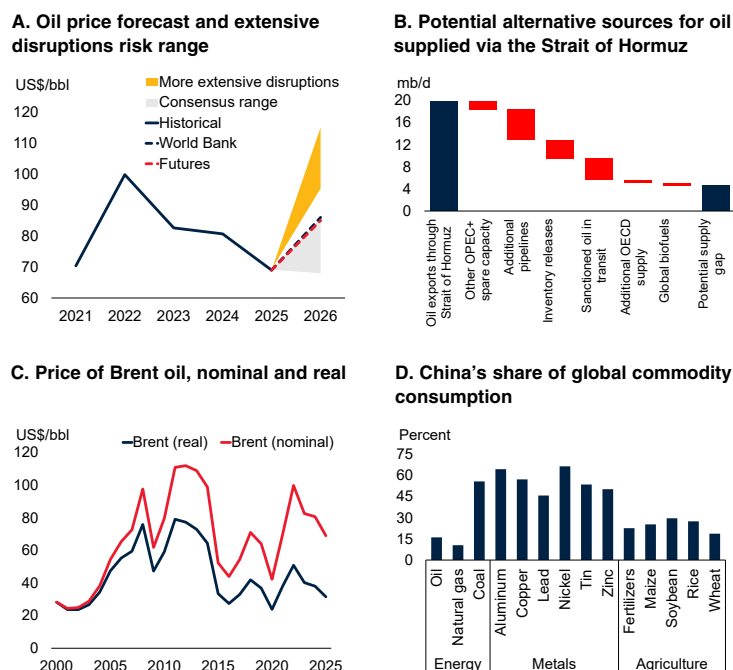
Risks of higher commodity prices

More extensive conflict-related disruptions

Near-term disruptions to the production and trade of commodities in the Middle East could be considerably more severe or more prolonged than assumed in the baseline price forecasts. There could be no meaningful, lasting reopening of the Strait of Hormuz until after 2026Q2, whether due to renewed conflict, logistical challenges, or both. Shipping-related challenges could thereafter slow the resumption of export volumes from the Gulf region through late 2026 or early 2027. A reescalation of hostilities could cause key oil and gas facilities to suffer additional damage, such that global oil supply capacity is reduced by up to 4 percent in the medium-term relative to pre-war expectations. Under these more adverse circumstances, the average Brent oil price in 2026 could range between \$95/bbl and \$115/bbl (figure 5.A). The lower end of this range could encompass considerable delays in the recovery of shipping volumes, without additional material damage to

FIGURE 5 Risks to commodity prices

If disruptions to energy trade and production are more protracted and severe than assumed, the Brent oil price could average \$95 to \$115 per barrel in 2026. On the other hand, the materialization of alternative sources of oil could substantially alleviate disruptions to the global oil supply shortfall through the Strait of Hormuz in the near term. Prior to the current shocks, inflation-adjusted oil prices had fluctuated well below the highs of the early 2010s, reinforced by the waning oil intensity of GDP and diversification in sources of supply. Weaker-than-expected economic growth globally, unrelated to energy supply shocks, could result in commodity prices undershooting the baseline projections, especially metals prices if growth in China falters.



Sources: Bloomberg; Consensus Economics; Ha, Kose, Ohnsorge (2023); International Energy Agency (IEA); The Energy Institute (database); U.S. Department of Agriculture (database); Refinitiv (database); World Bank.

Note: bbl = barrel; RHS = right-hand scale.

A. Dashed lines indicate forecasts for 2026. Futures data as of April 20, 2026. Consensus data are from the March 2026 release. Futures and consensus forecasts are World Bank computations from futures and consensus data. Yellow area indicates the range for the World Bank's forecast in case of more extensive conflict-related disruptions. Grey area indicates the 10th-90th percentile range of private-sector oil price forecasts, included in the March 2026 Consensus Forecasts release.

B. Data from IEA's *Oil Market Report*, March and April 2026 editions. To translate oil stocks into possible flows, sanctioned oil on water and IEA member countries' reserves are assumed to be released to the market over a period of four months. Figure depicts plausible alternative to oil via the Strait of Hormuz and is not a forecast.

C. Brent oil prices deflated by GDP-weighted average CPI for each year based on data from Ha, Kose, Ohnsorge (2023).

D. Data for energy is 2024, for metals is 2025, for fertilizers is 2023, and for other agriculture products is 2024.

oil infrastructure. The upper end would transpire with both additional damage to oil infrastructure and delays in resolving impediments to trade.

In assessing risks to oil supplies and prices in the coming months, the extent to which alternate

potential sources of oil can substitute for volumes shipped through the Strait of Hormuz will be critical. Between releases from strategic oil reserves, oil on water, alternate export routes from the Gulf, and other sources of oil such as biofuels, even a total shutdown of exports through the Strait could be substantially offset for several months (figure 5.B). If some oil is passing through the Strait, the potential supply gap could be reduced further. On the other hand, a long cessation of shipping would significantly erode available oil stocks. At the same time, new constraints on exports through alternate pipelines in the Middle East represent serious possible risk events, as they form the largest portion of substitution capacity.

More extended or severe disruptions to oil markets than currently expected would have extensive implications for broader commodity markets. LNG production and trade would be adversely affected, driving prices persistently higher, with knock-on consequences for regional benchmarks in Asia and Europe. Prices for fertilizers, especially urea, would substantially exceed the baseline projections, due to both higher input costs for natural gas and feedstocks and from sustained reductions in Middle East fertilizer and gas exports. In turn, elevated fuel and fertilizer costs would generate greater cost-push pressures for food producers. Surging oil and gas prices would also translate into stronger demand for substitute energy sources, with prices for coal and biofuel crops rising accordingly. With the scale and duration of disruptions mounting, supply chain challenges could intensify in unexpected ways. For instance, a prolonged decline in sulfur supplies could challenge the mining of metals globally, as sulfuric acid is used heavily to leach oxide ores. In sum, lasting declines in commodity exports from the Gulf region would represent a grave and widespread supply shock to the world economy.

Tighter base metals markets

Prices in base metals markets have reacted strongly to episodic supply concerns in recent years. This dynamic has emerged amid resilient metals demand, driven in part by strong momentum in several strategic and emerging sectors. Base metals

production capacity is inflexible in the short-term and often geographically concentrated. Against this backdrop, policy-related market distortions and localized supply shocks could substantially tighten markets for base metals such as aluminum, copper, and tin. Such challenges could take the form of new or more tightly enforced export restrictions, tariffs that fragment markets, or labor-, weather-, or conflict-related disruptions at critical mines. A combination of such events could lift prices significantly above the baseline forecasts.

Risks of lower commodity prices

Ample oil supply if disruptions are swiftly resolved

In late 2025, before geopolitical tensions climbed, Brent oil slipped below \$60 per barrel, and the oil market was on track for excess production of nearly 4 mb/d in 2026—greater than the surplus in 2020, during the COVID-19 pandemic. Oil market conditions prior to the war reflected, in part, structurally sluggish oil demand, pulled lower by uptake of electric vehicles, broader efficiency improvements, and subdued growth in some large energy-consuming economies. On the supply side, global oil production has diversified since the 2010s, with economies outside the OPEC+ quota system accounting for more than half of total crude output in 2025. In recent years, these forces have been potent in containing oil prices. From a consumer perspective, the inflation-adjusted price of Brent oil last year was close to its 2015 level—the low point of the 2010s (figure 5.C). If disruptions to shipping in the Middle East can be swiftly resolved, the current period of elevated oil prices could be brief. With Gulf region oil production flowing again, and further growth in supply from elsewhere, the market dynamics of late 2025 could reassert themselves and lead oil prices to significantly undershoot the forecast in 2027.

Weaker-than-expected global economic growth

The baseline forecasts assume a notable slowdown in global economic growth this year and recovery afterwards. Weaker-than-expected growth (if unrelated to energy supply shocks) could result in lower-than-projected commodity prices. There

could be multiple triggers for this outcome. For instance, an unforeseen tightening of global financial conditions could curb credit growth and business investment. In addition, resurgent trade tensions and policy uncertainty could undermine sentiment broadly, weakening demand. The implications for commodity prices would be especially pronounced if negative growth surprises were centered in investment-intensive economies or sectors. This could materialize with a faltering of anticipated returns from investments underpinning artificial intelligence, or if last year's softness in fixed investment in China persists, given the country's predominant role in global commodity demand (figure 5.D).

Broader implications

The outlook for commodity markets—both the baseline projections and risks—has a range of possible macroeconomic consequences for emerging market and developing economies (EMDEs) and the global economy more broadly. These include implications for growth, inflation, and jobs in EMDEs, global food insecurity, and policies concerning the security of commodity supplies.

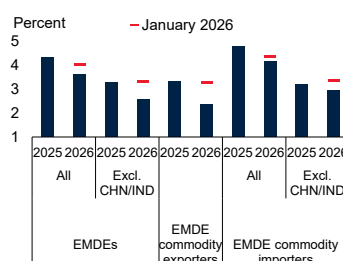
Growth and inflation prospects in EMDEs

Prior to the onset of war in the Middle East, EMDEs were expected to grow by 4 percent in 2026, somewhat slower than last year's pace of 4.3 percent. The consequences of the conflict have since dampened materially growth prospects, due to both the direct impediments to production and trade in the Middle East and the implications of much higher energy and broader commodity prices globally. Overall, EMDEs are now projected to grow 3.6 percent in 2026 under the baseline assumptions—a downgrade since January of 0.4 percentage point (figure 6.A). Despite increased export prices, EMDE commodity exporters are expected to grow just 2.4 percent in 2026, a downward revision of 0.9 percentage point, concentrated in economies in the Middle East directly impacted by hostilities. Exports in these countries are undergoing sharp forced reductions, and there has also been substantial damage to

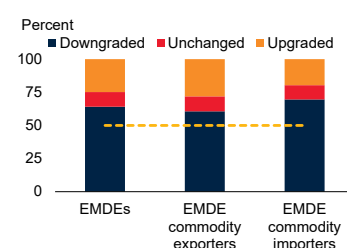
FIGURE 6 Broader implications of the commodity markets outlook

Damage to energy infrastructure and trade disruptions in the Middle East represent a global economic shock, with growth prospects broadly downgraded since January. Under the baseline assumptions, inflation in emerging market and developing economies (EMDEs) is likely to accelerate this year, rather than decelerating as previously anticipated. Inflation pressure will be even more intense if conflict-related risks trigger higher-than-expected oil prices. In such circumstances, knock-on impacts on food prices and affordability could push an additional 45 million people into acute food insecurity in 2026, according to the World Food Programme.

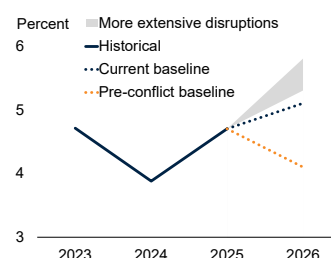
A. EMDE GDP growth forecasts



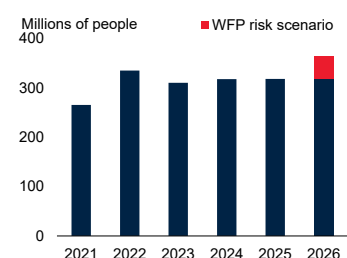
B. EMDE growth revisions since January 2026



C. EMDE CPI inflation under different scenarios



D. Acute food insecurity



Sources: Oxford Economics; World Food Programme; World Bank.

A. Aggregate growth rates are calculated using GDP weights at average 2010-19 prices and market exchange rates. January 2026 refers to growth rates reported in the January 2026 *Global Economic Prospects* report. Data for 2025 are estimates and for 2026 are forecasts.

B. Figure shows the share of countries in respective groups with forecast upgrades, downgrades and no forecast changes for 2026 since the January 2026 *Global Economic Prospects* report. The dashed line shows 50 percent.

C. Model-based projections of GDP-weighted consumer price index (CPI) inflation in emerging market and developing economies under different oil price forecasts. For the conflict-related disruptions range, average Brent oil prices in 2026 span from \$95/bbl to \$115/bbl.

D. Data refers to the globally aggregated peak data per year comparing the 68 countries included in the November 2025 *WFP Global Outlook*, for all years. The red bar indicates the forecast from the latest estimate released by the United Nations World Food Programme on March 23, 2026.

capital stocks and significant declines in tourism activity. More broadly, the recent shocks have seen growth prospects downgraded in more than 60 percent of commodity exporters (figure 6.B).

The headwinds to growth in EMDE commodity importers are notable but less concentrated than for exporters. Growth in EMDE commodity importers has been revised lower by 0.2 percentage point in 2026, to 4.2 percent, with forecast

downgrades in 70 percent of economies. Among these countries, the rise in energy prices will curb real income growth, thereby weighing on demand, and putting pressure on firms' margins by raising input costs. In addition, financing conditions are likely to be tighter for some time, in view of upward pressure on inflation and interest rates. The growth implications of the war for EMDE commodity importers are expected to be more negative when China and India are excluded, with growth this year forecast to wane to 2.9 percent, 0.5 percentage point below the January forecast.

With a weaker growth outlook in EMDEs, job creation and development are also likely to be impeded. Although overall employment can react relatively modestly to declining growth in EMDEs, this encompasses a buffering effect from informal employment, which is often lower quality employment. Meanwhile, wage employment in EMDEs deteriorates markedly around troughs in growth, and employment losses tend to fall harder on youth (Loungani, Luttini, and Pallan 2025). Adverse impacts on growth, job creation, and development in EMDEs could be considerably more severe if the acute phase of conflict-related trade disruptions lasts longer than assumed.

The counterpart of weaker growth prospects in EMDEs is higher expected inflation, owing principally to sizable energy price shocks. Depending on the scale and persistence of non-core price increases across economies, rising input costs may also be passed through into a wide range of consumer prices, exerting upward pressure on core inflation. Prior to the price shocks associated with the conflict, GDP-weighted consumer price inflation in EMDEs had been anticipated to settle at 4.1 percent in 2026, a meaningful deceleration from 4.7 percent last year. Instead, under the baseline projections, EMDE inflation is projected to rise to an average of 5.1 percent this year (figure 6.C).

Higher-than-expected energy prices would magnify increases in EMDE inflation. If more protracted, severe disruptions occur, driving average oil prices in 2026 to \$95–\$115/bbl as

discussed in the risks, then EMDE inflation could average 5.3–5.8 percent this year, a rate exceeded only once in the last decade, during the inflation surge of 2022. The anticipated inflationary impact of such an outcome would be greater still, were it not for the expectation that global financial conditions would also tighten in response to such pronounced price pressures, in part reflecting the likelihood of central banks pursuing more restrictive monetary policy stances.

Food insecurity

The war in the Middle East threatens to worsen food affordability globally. In the region embroiled in conflict, the closure of the Strait of Hormuz has cut off maritime routes for several economies that are highly dependent on imported food. For some economies, this is likely to result in large increases in food inflation.

More detrimental outcomes for global food security may occur if war-related disruptions persist, primarily through adverse effects on real incomes in some of the world's most vulnerable economies. Estimates suggest that an extended conflict keeping oil prices above \$100/bbl could push up to 45 million more people into acute food insecurity this year (figure 6.D; WFP 2026). Such a scenario would be broadly consistent with the more extensive possible disruptions discussed in the risks section above, and would frustrate prior expectations that acute food insecurity would stabilize. In the near term, the main channels through which a larger energy shock would heighten hunger would be the knock-on impacts of fuel prices on imported foods prices, and the broader affordability squeeze as prices of other essentials climb. Over time, sharply higher fertilizer prices may also weigh on application rates, especially in lower-income regions where more farmers are liquidity constrained. Such a pattern emerged in 2021–22, when fertilizer use per hectare declined across many regions as prices surged. These effects could have a long tail, materializing as reduced crop yields in future growing seasons.

Securing energy and key commodity supplies

The war in the Middle East is the latest in a series of shocks to the global economy in recent years. Since 2020, the COVID-19 pandemic, Russia's invasion of Ukraine, and a marked rise in trade restrictions have all threatened or resulted in costly supply chain challenges, thrusting mounting attention onto economic security. At the current juncture, the lengthy obstruction of the Strait of Hormuz raises concerns about the future security of essential commodity supplies, and ultimately may herald a range of new policies.

In the near term, commodity exporters may prioritize building alternative delivery capacity, such as new pipelines and processing facilities that bypass possible chokepoints. Energy-importing countries are likely to increase use of available domestic energy sources, in some cases relying on coal reserves, which will create long-term costs owing to increased air pollution and carbon emissions. However, the relative attractiveness of hydro, solar, and wind power could also increase, particularly in conjunction with the decline in costs for energy storage already underway.

Over the longer term, plans to use more nuclear power could gain momentum, especially as small modular reactors technology develops. Beyond energy, the focus of policy makers on securing supplies of critical minerals—both common commodities such as nickel and copper, and technologically essential but small-volume rare earth elements—may intensify. This could result in more inward-oriented policies to foster domestic supplies, as well as efforts to reach and operate coordinated commodity agreements to address supply risks or stabilize prices. Historically, however, most such agreements have a limited record of success (Baffes, Nagle, and Streifel 2025).

Special focus: The effects of geopolitical oil supply shocks

The last few years have seen more frequent surges in geopolitical tensions, as exemplified by the recent outbreak of war in the Middle East. Many of these surges have led to sharp increases in oil prices which, if sustained, can create severe headwinds for the global economy. The special focus in this edition examines the behavior of oil markets during periods of rising geopolitical risk and quantifies the effects of geopolitical oil supply shocks, as distinct from other sources of oil supply variation, drawing on a novel methodology. It estimates that during times of surging geopolitical risk, a 1 percent reduction in oil production generates a peak oil price increase, on average, of more than 11 percent, nearly twice the increase reported in previous studies for oil supply shocks in general.

Outsized oil price responses to geopolitical supply shocks suggest additional layers of precautionary behavior in oil markets, which can have different forms over time. First, at the onset of a significant geopolitical oil shock, a surge in uncertainty over future supplies and global economic conditions can drive risk premia higher, reflecting both efforts to secure physical stocks and speculative market responses. Second, the experience of geopolitical disruptions prompts greater inventory building in the medium-term as a form of self-insurance. Oil supply shocks arising out of conflict have significant and persistent spillover effects on other commodity markets—particularly natural gas and fertilizers. Overall, geopolitically driven oil supply disruptions tend to be especially destabilizing for commodity markets, with likely knock-on consequences for inflation, growth, and poverty. These results highlight the importance of policy measures to mitigate exposure to such shocks.

TABLE 1 World Bank commodity price forecasts

TABLE 1 World Bank commodity price forecasts						Percent change from previous year		Differences in levels from October 2025 forecasts	
Commodity	Unit	2024	2025	2026f	2027f	2026f	2027f	2026f	2027f
INDEXES (in nominal U.S. dollars, 2010 = 100)									
Total ¹		105.1	98.4	113.7	99.8	15.5	-12.3	23.0	5.8
Energy ²		101.5	90.0	111.3	92.1	23.6	-17.2	31.4	7.2
Non-Energy		112.5	115.4	118.7	115.4	2.8	-2.8	6.0	2.9
Agriculture		115.0	115.7	109.3	110.0	-5.6	0.6	-3.4	-1.8
Beverages		176.4	207.3	144.8	147.8	-30.1	2.1	-48.2	-36.1
Food		115.8	109.2	111.9	113.3	2.4	1.3	3.4	4.0
Oils and Meals		106.9	104.5	109.0	109.3	4.3	0.3	5.7	5.7
Grains		112.9	101.3	103.7	106.0	2.4	2.2	2.9	3.2
Other food		130.4	122.7	123.1	125.2	0.3	1.7	0.9	2.4
Raw Materials		81.6	84.9	84.9	82.6	-0.1	-2.7	2.8	1.4
Timber		79.6	81.8	81.7	82.9	-0.1	1.5	-1.6	-1.2
Other Raw Materials		83.9	88.4	88.4	82.2	0.0	-7.0	7.6	4.1
Fertilizers		117.6	138.7	181.3	152.1	30.7	-16.1	46.4	24.3
Metals and Minerals ³		106.7	112.2	130.8	122.3	16.6	-6.5	20.7	10.3
Base Metals ⁴		114.1	122.3	145.8	135.6	19.2	-7.0	25.1	11.9
Precious Metals ⁵		180.2	258.6	368.3	337.7	42.4	-8.3	100.1	85.9
PRICES (in nominal U.S. dollars)									
Energy									
Coal, Australia	\$/mt	136.1	108.4	130.0	115.0	19.9	-11.5	30.0	10.0
Crude oil, Brent	\$/bbl	80.7	69.0	86.0	70.0	24.6	-18.6	26.0	5.0
Natural gas, Europe	\$/mmbtu	11.0	12.0	15.0	12.0	25.4	-20.0	4.2	2.2
Natural gas, U.S.	\$/mmbtu	2.2	3.5	3.8	4.0	7.8	5.3	-0.1	0.1
Liquefied natural gas, Japan	\$/mmbtu	12.8	12.0	16.0	13.0	32.9	-18.8	4.5	2.5
Non-Energy									
Agriculture									
Beverages									
Cocoa	\$/kg	7.33	7.80	3.80	4.20	-51.3	10.5	-3.70	-2.80
Coffee, Arabica	\$/kg	5.62	8.47	7.25	7.00	-14.4	-3.4	0.00	0.10
Coffee, Robusta	\$/kg	4.41	4.86	4.00	3.90	-17.7	-2.5	-0.70	-0.70
Tea, average	\$/kg	3.04	2.91	2.85	3.00	-2.1	5.3	-0.10	0.00
Food									
Oils and Meals									
Coconut oil	\$/mt	1,519	2,480	2,301	2,111	-7.2	-8.3	47	126
Groundnut oil	\$/mt	1,796	1,666	1,722	1,740	3.4	1.0	185	138
Palm oil	\$/mt	963	1,007	1,089	1,096	8.1	0.6	38	34
Soybean meal	\$/mt	442	366	359	363	-1.8	1.1	23	20
Soybean oil	\$/mt	1,022	1,140	1,233	1,236	8.2	0.2	58	78
Soybeans	\$/mt	462	414	441	446	6.4	1.1	31	30
Grains									
Barley	\$/mt	...	...	172	174	...	1.2	-2	-1
Maize	\$/mt	191	203	211	214	3.8	1.4	16	17
Rice, Thailand, 5%	\$/mt	588	408	401	413	-1.7	3.0	0	4
Wheat, U.S., HRW	\$/mt	269	243	253	260	4.0	2.8	-5	-7

TABLE 1 World Bank commodity price forecasts

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Commodity	Unit	2024	2025	2026f	2027f	2026f	2027f	2026f	2027f
PRICES (in nominal U.S. dollars)									
Non-Energy									
Other Food									
Bananas, U.S.	\$/kg	1.23	1.10	1.10	1.12	0.4	1.8	0.10	0.00
Beef	\$/kg	5.93	6.86	7.60	7.81	10.8	2.8	0.80	0.90
Chicken	\$/kg	1.46	1.71	1.69	1.72	-1.4	1.8	0.00	0.00
Oranges	\$/kg	2.26	1.42	1.15	1.20	-18.9	4.3	-0.30	-0.30
Shrimp	\$/kg	...	...	9.00	9.47	...	5.2	0.00	0.00
Sugar, World	\$/kg	0.45	0.37	0.35	0.34	-5.8	-2.9	0.00	-0.10
Raw Materials									
Timber									
Logs, Africa	\$/cum	379	395	400	405	1.2	1.3	5	5
Logs, S.E. Asia	\$/cum	197	199	190	200	-4.6	5.3	-20	-15
Sawnwood, S.E. Asia	\$/cum	697	718	725	730	0.9	0.7	0	0
Other Raw Materials									
Cotton	\$/kg	1.91	1.71	1.65	1.75	-3.3	6.1	-0.10	0.00
Rubber, TSR20	\$/kg	1.75	1.77	1.90	1.95	7.4	2.6	0.10	0.10
Tobacco	\$/mt	5,899	6,881	6,700	5,500	-2.6	-17.9	1100	500
Fertilizers									
DAP	\$/mt	564	685	725	650	5.8	-10.3	75	50
Phosphate rock	\$/mt	153	153	160	170	4.9	6.3	0	5
Potassium chloride	\$/mt	295	348	390	365	12.2	-6.4	60	45
TSP	\$/mt	475	578	625	550	8.2	-12.0	85	50
Urea, E. Europe	\$/mt	338	423	675	500	59.7	-25.9	265	125
Metals and Minerals									
Aluminum	\$/mt	2,419	2,632	3,200	3,000	21.6	-6.3	600	300
Copper	\$/mt	9,142	9,947	12,000	11,000	20.6	-8.3	2200	1000
Iron ore	\$/dmt	109.4	100.2	97.0	95.0	-3.2	-2.1	3	5
Lead	\$/mt	2,069	1,962	1,950	1,950	-0.6	0.0	-25	-50
Nickel	\$/mt	16,814	15,162	17,000	17,500	12.1	2.9	1500	1500
Tin	\$/mt	30,066	34,059	41,000	37,000	20.4	-9.8	7000	2500
Zinc	\$/mt	2,776	2,868	3,000	2,750	4.6	-8.3	250	50
Precious Metals									
Gold	\$/toz	2,388	3,442	4,700	4,300	36.6	-8.5	1125	925
Silver	\$/toz	28.3	39.8	70.0	65.0	75.9	-7.1	29.0	28.0
Platinum	\$/toz	955	1,278	1,950	1,700	52.5	-12.8	675	400

Source: World Bank.

1. The World Bank Group's *commodity total price index* is composed of energy and non-energy prices (excluding precious metals), weighted by their share in 2002-04 exports. The energy index's share in the overall index is 67 percent.

2. Energy price index includes coal (Australia), crude oil (Brent), and natural gas (Europe, Japan, U.S.).

3. Base metals plus iron ore.

4. Includes aluminum, copper, lead, nickel, tin, and zinc.

5. Precious metals are not part of the non-energy index.

f = forecast.